MANDATORY RETIREMENT PLANS · INSTRUCTIONAL STAFF

TRS vs. TIAA Comparison

You must choose between the Teachers' Retirement System (TRS) and the Optional Retirement Plan (ORP) administered by TIAA within 30 days of your initial appointment. Your decision can't be changed.

	TRS	TIAA
Plan type	Qualified pension plan (defined benefit plan)	Retirement annuity contracts (defined contribution plan)
Vesting period	5 years of Total Service Credit	366 days of continuous employment
Age requirements	63 for full retirement; 55–62 for a reduced retirement benefit	None to collect retirement income (taxes and penalties may apply if taken before age 59½)
Contribution rates	**Employee:** graduated scale based on tier and contractual salary. **Employer:** actuarially determined amount to fund benefits for all plan members.	**Employee:** same as TRS. **Employer:** 8% of base salary during the first seven years of employment; 10% of base salary after seven years.
Retirement benefits	Determined by a formula including a pension factor, total service credit and Final Average Salary	Varies based on your annuity accumulations, retirement age and income option
Post-retirement health benefits	NYC Health Benefits coverage contingent upon 10 years' full-time service immediately before retirement.	**Instructional staff:** if 62 or over, NYC Health Benefits coverage contingent upon 15 years' continuous full-time service before retirement. Must maintain a $50,000 reserve with TIAA to fund premiums. **ECP:** if 55 or over, health coverage only after 10 years' continuous service. Must maintain a $50,000 reserve with TIAA to fund premiums.
Separating from service	**Not vested** (less than 5 years' membership): your contributions (with interest) may be withdrawn or rolled over. If membership expires (after seven school years), withdrawal or rollover is mandatory. **Vested:** eligible to receive a monthly benefit on reaching retirement age.	**Not vested:** refund of employee contributions reflecting investment return. **Vested:** rules vary based on investment choices.
Portability	Membership may be transferred to certain NYS/NYC public retirement systems, or funds may be rolled over to eligible IRAs or successor plans	TIAA accounts may be kept if you join another institution or employer that offers TIAA
Secondary (multiple) positions	Secondary or multiple lines of employment are all pensionable. Inform the school where you have the secondary line so required employee contributions can start from your paycheck.	Same as TRS